

# LIBERTY KENYA HOLDINGS LIMITED

The Board of Directors of Liberty Kenya Holdings Limited is pleased to announce the unaudited results of the Group for the six months ended 30 June 2016



## Group Statement of Financial Position

|                                                | 30 June 2016<br>Shs'000 | 30 June 2015<br>Shs'000 | 31 Dec 2015<br>Shs'000 |
|------------------------------------------------|-------------------------|-------------------------|------------------------|
| <b>Capital and reserves</b>                    |                         |                         |                        |
| Ordinary share capital                         | 535,707                 | 535,707                 | 535,707                |
| Share premium                                  | 1,490,480               | 1,490,480               | 1,490,480              |
| Revenue and other reserves                     | 4,130,523               | 3,810,467               | 3,872,988              |
| Proposed dividend                              | -                       | 267,854                 | -                      |
| <b>Equity attributable to owners of parent</b> | <b>6,156,710</b>        | <b>6,104,508</b>        | <b>5,899,175</b>       |
| Non-controlling interest                       | 295,244                 | 380,692                 | 333,936                |
| <b>Total equity</b>                            | <b>6,451,954</b>        | <b>6,485,200</b>        | <b>6,233,111</b>       |
| <b>REPRESENTED BY:</b>                         |                         |                         |                        |
| <b>Assets</b>                                  |                         |                         |                        |
| Property and equipment                         | 1,069,780               | 1,061,818               | 1,098,712              |
| Intangible assets                              | 89,797                  | 62,636                  | 86,721                 |
| Goodwill                                       | 1,254,995               | 1,254,995               | 1,254,995              |
| Investment property                            | 964,875                 | 936,000                 | 1,035,500              |
| Financial investments                          | 22,991,458              | 20,877,506              | 19,064,519             |
| Receivable arising from reinsurance            | 572,837                 | 380,284                 | 484,394                |
| Receivable arising from direct insurance       | 1,159,926               | 1,219,152               | 1,640,417              |
| Reinsurers' share of insurance liabilities     | 2,555,622               | 2,658,856               | 2,315,330              |
| Deferred acquisition costs                     | 161,983                 | 156,780                 | 143,670                |
| Other receivables                              | 503,332                 | 445,788                 | 435,555                |
| Deferred income tax                            | 101,268                 | 101,808                 | 123,915                |
| Current income tax                             | 29,999                  | 81,402                  | 92,787                 |
| Cash and cash equivalents                      | 3,652,264               | 5,572,362               | 6,757,174              |
| <b>Total assets</b>                            | <b>35,108,136</b>       | <b>34,809,387</b>       | <b>34,533,689</b>      |
| <b>Liabilities</b>                             |                         |                         |                        |
| Insurance contract liabilities                 | 11,625,990              | 10,416,247              | 11,060,752             |
| Deposit administration liabilities             | 11,055,436              | 11,887,007              | 11,463,105             |
| Unearned premium reserve                       | 3,499,830               | 3,591,796               | 3,004,505              |
| Creditors arising from reinsurance             | 722,197                 | 859,679                 | 1,025,068              |
| Deferred acquisition income                    | 118,284                 | 92,545                  | 88,414                 |
| Other liabilities                              | 740,653                 | 935,018                 | 863,845                |
| Deferred income tax                            | 858,491                 | 541,896                 | 794,889                |
| Current income tax                             | 35,301                  | -                       | -                      |
| <b>Total liabilities</b>                       | <b>28,656,182</b>       | <b>28,324,188</b>       | <b>28,300,578</b>      |
| <b>Net assets</b>                              | <b>6,451,954</b>        | <b>6,485,200</b>        | <b>6,233,111</b>       |

## Group Income Statement

|                                             | 30 June 2016<br>Shs'000 | 30 June 2015<br>Shs'000 | 31 Dec 2015<br>Shs'000 |
|---------------------------------------------|-------------------------|-------------------------|------------------------|
| <b>Income</b>                               |                         |                         |                        |
| Gross earned premium revenue                | 4,778,366               | 4,281,371               | 9,352,567              |
| Less: Outward reinsurance                   | (1,959,842)             | (1,721,386)             | (3,826,733)            |
| <b>Net insurance premium revenue</b>        | <b>2,818,524</b>        | <b>2,559,985</b>        | <b>5,525,834</b>       |
| Commissions earned                          | 413,459                 | 431,382                 | 794,679                |
| Investment income                           | 1,497,893               | 960,016                 | 1,833,886              |
| Administration fees                         | 4,700                   | 3,968                   | 9,101                  |
| Other income                                | (29,162)                | 72,059                  | 108,156                |
| <b>Total income</b>                         | <b>4,705,414</b>        | <b>4,027,410</b>        | <b>8,271,656</b>       |
| Claims and policyholder benefits payable    | (2,379,676)             | (1,681,014)             | (4,568,813)            |
| Change in insurance contract liabilities    | (498,359)               | (517,051)               | (177,892)              |
| Amounts recoverable from reinsurers         | 767,730                 | 657,056                 | 1,620,588              |
| <b>Net insurance benefits and claims</b>    | <b>(2,110,306)</b>      | <b>(1,541,009)</b>      | <b>(3,126,117)</b>     |
| Total expenses and commissions              | (2,104,993)             | (1,974,093)             | (4,191,837)            |
| Commissions payable                         | (572,119)               | (631,933)               | (1,181,061)            |
| Other operating expenses                    | (1,532,874)             | (1,342,160)             | (3,010,776)            |
| <b>Result of operating activities</b>       | <b>490,115</b>          | <b>512,308</b>          | <b>953,702</b>         |
| <b>Profit before income tax</b>             | <b>490,115</b>          | <b>512,308</b>          | <b>953,702</b>         |
| Income tax expense                          | (134,684)               | (92,415)                | (217,652)              |
| <b>Profit for the period</b>                | <b>355,431</b>          | <b>419,893</b>          | <b>736,050</b>         |
| Attributable to:                            |                         |                         |                        |
| Owners of the parent                        | 344,651                 | 385,803                 | 675,253                |
| Non-controlling interest                    | 10,780                  | 34,090                  | 60,797                 |
| <b>Basic and diluted earnings per share</b> | <b>0.66</b>             | <b>0.78</b>             | <b>1.37</b>            |

## Abridged Group Statement of Cashflows

|                                                     | 30 June 2016<br>Shs'000 | 30 June 2015<br>Shs'000 | 31 Dec 2015<br>Shs'000 |
|-----------------------------------------------------|-------------------------|-------------------------|------------------------|
| <b>Cash generated from operations</b>               | <b>(963,838)</b>        | <b>404,061</b>          | <b>(508,538)</b>       |
| Net interest received                               | 935,569                 | 886,357                 | 2,458,401              |
| Income tax recovery (paid)                          | 49,654                  | (126,174)               | (256,892)              |
| <b>Net cash generated from operating activities</b> | <b>21,386</b>           | <b>1,164,244</b>        | <b>1,692,971</b>       |
| Cashflows from/(used in) investing activities       | (3,101,863)             | (1,779,350)             | (802,153)              |
| Cashflows used in financing activities              | -                       | -                       | (344,080)              |
| Currency translation differences                    | (24,433)                | (64,294)                | (41,326)               |
| <b>Net (decrease) increase in cash equivalents</b>  | <b>(3,104,910)</b>      | <b>(679,400)</b>        | <b>505,412</b>         |
| Cash and cash equivalents at 1 January              | 6,757,174               | 6,251,762               | 6,251,762              |
| <b>Cash and cash equivalents</b>                    | <b>3,652,264</b>        | <b>5,572,362</b>        | <b>6,757,174</b>       |

## Group Statement of Comprehensive Income

|                                                               | 30 June 2016<br>Shs'000 | 30 June 2015<br>Shs'000 | 31 Dec 2015<br>Shs'000 |
|---------------------------------------------------------------|-------------------------|-------------------------|------------------------|
| Profit for the period                                         | 355,431                 | 419,894                 | 736,050                |
| <b>Items that can be reclassified into profit or loss:</b>    |                         |                         |                        |
| Foreign currency                                              | (73,011)                | (86,802)                | (78,547)               |
| <b>Items that cannot be reclassified into profit or loss:</b> |                         |                         |                        |
| Recognition of deferred income tax on revaluation             | (63,577)                | -                       | (2,920)                |
| Gain on revaluation of land and building                      | -                       | -                       | 15,500                 |
| Other comprehensive income for the year net of tax            | (136,588)               | (86,802)                | (65,967)               |
| <b>Total comprehensive income for the period</b>              | <b>218,843</b>          | <b>333,092</b>          | <b>670,083</b>         |
| <b>Total comprehensive income attributable to:</b>            |                         |                         |                        |
| Owners of parent                                              | 257,535                 | 334,713                 | 642,234                |
| Non-controlling interest                                      | (38,692)                | (1,621)                 | 27,849                 |
| <b>Total comprehensive income for the period</b>              | <b>218,843</b>          | <b>333,092</b>          | <b>670,083</b>         |

## Abridged Group Statement of Changes in Equity

|                            | Share Capital<br>Shs'000 | Share Premium<br>Shs'000 | Revenue and other reserves<br>Shs'000 | Non-controlling interest<br>Shs'000 | Total<br>Shs'000 |
|----------------------------|--------------------------|--------------------------|---------------------------------------|-------------------------------------|------------------|
| A1 January 2016            | 535,707                  | 1,490,480                | 3,872,988                             | 333,936                             | 6,233,111        |
| Net profit for the year    | -                        | -                        | 344,651                               | 10,780                              | 355,431          |
| Other comprehensive income | -                        | -                        | (87,116)                              | (49,472)                            | (136,588)        |
| <b>As at 30 June 2016</b>  | <b>535,707</b>           | <b>1,490,480</b>         | <b>4,130,523</b>                      | <b>295,244</b>                      | <b>6,451,954</b> |

## FINANCIAL HIGHLIGHTS

The Group earnings for the first half of the year were reflective of the continued difficult trading environment experienced in the latter half of 2015. Notwithstanding, Group investment income earnings rebounded to grow by a commendable 56%.

Year-on-year total income grew by 16.8% whilst an increase in expenses was contained to 6.6%.

The outlook for the remainder of 2016 will be influenced by an increasingly competitive market place, muted growth prospects and, to some degree, the uncertainty of the macro-economic impact of the recent changes in banking legislation.

The above financial statements were approved by the Board of Directors on 5 September 2016 and signed on its behalf by:

**S A Mboya**  
 Chairman

**M L du Toit**  
 Managing Director

**G R May**  
 Director

**C Kioni**  
 Company Secretary

Over 100 years  
in the business  
doesn't make us old.  
It makes us classic.

#RethinkHeritage

Heritage  
Insurance Company  
a member of LIBERTY

(+254) 711 039 000

**SMS 'BORESHA' to 20120**

Boresha Maisha Retirement Plan.

LIBERTY

LIFE INVESTMENTS INSURANCE HEALTH PROPERTIES ADVICE